BRIEFING
Planned European Commission initiative

European Parliament

New EU economic security doctrine

This European Parliamentary Research Service paper aims to inform Members on issues related to a forthcoming Commission initiative. It highlights the main choices which may shape the initiative and which Members may wish to explore ahead of formal Commission adoption. Based on documentary and other sources, it reflects the information available at the time of writing.

For further information on this topic, Members and staff of the European Parliament may contact the author.

ISSUES AT STAKE

- The EU's 2023 economic security strategy has not proved sufficient to face an increasingly confrontational geopolitical environment. A key priority for the current European Commission is therefore to advance EU policy addressing potential harms coming from Europe's global economic links, to boost resilience and reduce dependencies.
- The next step is to adopt a new doctrine by the end of 2025, switching up a gear from risk identification to risk mitigation, and providing clarity on the strategic and coherent use of the many possible instruments already in the EU toolbox, including guidelines on how and when to deploy them in response to specific risks. The Commission is currently in the crucial phase of identifying gaps, deciding which tools to include, and whether new instruments are needed.
- While the new doctrine will be non-legislative, it presents an important opportunity for the European Parliament to shape the debate and articulate its position at an early stage: once adopted by the Commission, the doctrine will link and guide many policies over which the Parliament has legislative powers.

Developments and insights – European Commission

The Commission issued its first-ever economic security strategy in 2023. It underlined the need to develop a more cohesive and impactful common EU approach to respond effectively to new geopolitical and technological realities. It identified four top-priority categories of risk: (i) supply chain resilience; (ii) the physical and cyber security of critical infrastructure; (iii) technology security and technology leakage; and (iv) weaponisation of economic dependencies and economic coercion.

The strategy also highlighted that mitigating policies must balance between bolstering economic security and ensuring that the EU continues to benefit from an open economy. To balance and mutually reinforce security and openness, the strategy proposed a three-pillar approach:

(i) **promote** EU competitiveness and its scientific, technological and industrial bases;

(ii) **protect** the EU from economic security risks including through new instruments;

(iii) **partner** with like-minded countries who share the same concerns and interests.

The Commission identified a list of 10 critical technology areas for the EU's economic security in October 2023.[1] It launched a joint risk assessment with EU Member States for the four considered highly likely to present the most sensitive and immediate risks related to **technology security and technology leakage**: advanced semiconductors; artificial intelligence (AI); quantum technologies; and biotechnologies.[2] In January 2024, the Commission released the advancing economic security

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package, focused on measures to control technology and knowledge transfers.[3] Implementation of this package has progressed, with the scrutiny of outbound investments, reinforced export controls and an improved foreign direct investment (FDI) screening framework.[4]

In her political guidelines, presented to the European Parliament in July 2024, Ursula von der Leyen prioritised advancing Europe's economic security and economic statecraft during her second term. New policy elements such as developing economic security standards for key supply chains with the G7 and other like-minded partners were mentioned. Importantly, von der Leyen created the Commissioner for Trade **and Economic Security** post, to which Maroš Šefčovič was appointed.

In his mission letter, Commissioner Šefčovič was tasked with leading the work on a new **economic security doctrine**, focused on the strategic use of EU economic security tools. Implementing and refining the existing instruments is to be accompanied by a wider reflection on how and when to deploy them strategically in a clear-sighted manner. In other words, the doctrine will aim to ensure the coherent and coordinated use of existing tools, to best pursue the EU's objectives and interests. While the exact scope is currently unclear, Commission documents and an overview of expert sources indicate that a mix of recent and major, well-established EU instruments are likely to be used (Table 1). The 2023 economic security strategy remains the key document on which the new policy will be based, and the doctrine will be about the practicalities of its implementation. The toolbox is therefore likely to be organised in a three-pillar structure:

Table 1 – Selection of possible instruments in the new EU economic security doctrine

Promote	Protect	Partner
Deepening the single market	Anti-coercion Instrument	Free trade agreements
Chips & Critical Raw Materials Acts	Foreign Subsidies Regulation	Trade and investment partnerships
Strategic technologies (STEP)	Export controls	Global Gateway
Horizon Europe	FDI Screening Framework	The G7
AI factories	Cybersecurity	Trade and Technology Councils
Net-Zero Industry Act	Critical infrastructure / resilience	Bilateral / Multilateral / WTO

Source: Author's elaboration.[5]

Under the '**promote**' pillar, the doctrine would gather initiatives focused on increasing competitiveness and deepening the single market and its supply chain resilience. The '**protect**' pillar would put together several – recently sharpened and expanded – assertive instruments that shield the EU economy from risks and boost its resilience, such as the Anti-coercion Instrument, export controls and FDI Screening Framework. Lastly, EU initiatives and tools strengthening its cooperation within a multilateral and bilateral context would be grouped under the '**partner**' pillar.

It remains to be seen whether the Commission creates new instruments specifically in the context of the doctrine. Indeed, experts see **gaps in the current economic security framework**. For example, the EU lacks the means to address the broad issue of extraterritoriality, or ways to collectively share the costs of economic harm/coercion currently borne by individual Member States, constituencies and companies. It is also unclear whether and how the new doctrine would relate to sanctions policy and how it can be both flexible and specific.

Commissioner Šefčovič indicated to the International Trade Committee (INTA) that preparing the doctrine would entail an assessment of current trade defence instruments and the EU's ongoing

customs reform. The main questions to be answered are: 'Do we have enough? Are they sharp enough? What is the timeline? How long should investigations last? Is the toolbox fit for the new super-dynamic environment in which we live?' The doctrine will bring all the tools 'under one roof' and provide strategic guidelines for their targeted use. The results of the ongoing risk assessments in critical technologies will also be used to devise necessary mitigating measures. The doctrine will take account of vulnerabilities in key supply chains, possible responses to hostile actions weaponising interdependencies, and impacts on EU industry and the economy. In essence, the doctrine will aim to advance economic security policy by taking a decisive step from **identifying risks** and their channels of impact to having a ready-to-use **set of remedies**.

European Parliament position

While the Parliament has not drafted a dedicated report on economic security, it deliberated on the issue in several other adopted resolutions. In a resolution of 15 September 2022 on '**implementation of the Updated New Industrial Strategy for Europe**', Parliament stressed that public procurement is an essential instrument in achieving economic security. In a resolution of 22 November 2023 on the **amendment of the Treaties,** Members suggested that economic security be included in the scope of the EU's common commercial policy.[6] In its resolution of 13 December 2023 on **EU-Japan relations**, Parliament welcomed the excellent cooperation in the G7 on economic resilience and economic security and the Japanese emphasis on these topics, as evidenced by the launch of the G7 Coordination Platform on Economic Coercion at the May 2023 Hiroshima Summit. Parliament also proposed to include a dedicated economic security workstream in the context of the EU-Japan High-Level Economic Dialogue. In a resolution of 8 May 2025 on the **screening of foreign investment in the Union,** Members underlined that economic security risks could have a negative impact on fundamental societal interests including prosperity, sovereignty, safety, and the operation of the social market economy. They also called on the Commission to report regularly on the functioning and effectiveness of the revised FDI screening framework to the European Parliament and to the Council, including an assessment of how it contributes to economic security.

Members discussed the EU's economic security strategy in December 2023. The plenary debate included the observation that while economic security is a European public good, it touches upon national security, which is a Member State competence. This creates governance challenges, particularly when linking EU and national-level policies. INTA Chair, Bernd Lange (S&D, Germany), warned against using economic security arguments to increase protectionism, and supported diversifying risky trade dependencies through openness and trusted partners instead, as well as expanding and modernising the EU's network of trade agreements. He also said a coherent economic security doctrine should determine how and when numerous relevant tools (including protective tools) are used, ensuring predictability for other countries, including those with hostile intentions.

Why is a new European economic security doctrine important?

Today's geopolitical environment is increasingly confrontational and transactional, as manifested by Russia's war on Ukraine and US tariffs. Together with rising trade protectionism, this illustrates that some actors weaponise interdependences and economic links with the EU to achieve their objectives. This resulted in economic security occupying a prominent place in EU strategic thinking, and progressive development and implementation of related policies.

Draghi report

The report on the future of European competitiveness says economic security principles should ensure that different pieces of legislation (e.g. environmental, social, competition) at both the EU and national levels, do not contradict each other, particularly in the area of critical raw materials. EU international alliances should aim to create common markets to tackle overcapacity and unfair practices. The EU should also create funds to acquire strategic and critical companies, which risk being taken over by non-EU entities.

At the same time, some experts consider that these efforts are simply laying the groundwork for a fully fledged economic security framework. They see the different Member State economic priorities and risk thresholds as hampering the alignment of national policies, creating gaps that weaken collective EU security.

EU measures need not only to address more short-term, current crises and trade tensions, but also proactively strengthen Europe's economy and its defence mechanisms against future threats in the longer term. This is a challenging task. Recent crises have highlighted over-reliance on critical dependencies, however, empirical research shows the EU's dependencies have actually grown. Rather than disconnecting from dependencies, data from 2023 show that the lion's share of critical products and raw materials used as inputs across many EU industrial sectors are sourced from countries which could attempt to coerce the EU, such as China or the United States, or even openly hostile states like Russia (Figure 1).[7]

Figure 1 – Origins of selected EU dependencies



Source: CEPR, Commission, 2023.

The three-pillar approach seems to address the weaknesses and risks from multiple angles, cutting across multiple policy fields. However, it brings an inherent level of complexity, with feedback from practitioners suggesting that policymaking is often disjointed at national and EU levels, as well as between them. Economic security objectives need to be crystallised (general, sectoral or both), and there is no mechanism to unify conversations and actions taking place on several levels. A framework providing more detail on how to work across the three pillars to respond to risks, and guidance on how the pillars interact, should also be laid out in the upcoming doctrine.

For the Commission's Director-General for Trade, Sabine Weyand, Europe: 'cannot afford a piecemeal approach. We need strong, coordinated EU action. This will be reflected in … a doctrine on using our economic security tools'. Proliferating risks require clarity on how to use the vast arsenal of economic security tools to counter them, 'given that they all have their own inherent logic and objectives but need to be deployed in a coordinated and coherent way'. For example, **sanctions require unanimity in the Council, while the Anti-coercion Instrument requires qualified majority voting**. The timeframes also vary between instruments. In conclusion, the economic security doctrine is needed to help policymakers to make the right choices, select appropriate means, find relevant partners, and build sufficient capacity – all of which are necessary to fend off short- and long-term challenges. Moreover, a well-designed framework would facilitate synergies with other EU policies, such as those on customs, internal security and preparedness.

For the **European Parliament**, the strategic nature of the upcoming economic security doctrine makes it an important non-legislative initiative to monitor. The doctrine will be 'joining the dots' between key policies where Parliament has legislative powers, such as trade, the single market and international partnerships. It will also contain tools and policies with significant budgetary impact, such as those promoting critical technologies, innovation and research.

Other countries' economic security strategies

The G7 countries broadly base their policy mix on similar tools, but there are differences. The United States has strong extraterritoriality provisions, which extend the reach of its economic security tools. Japan actively uses its industrial policy to diversify key supply chains by investing in foreign companies and financially supporting domestic firms that secure their supplies away from China or build stockpiles. South Korea combines economic and traditional security by linking technological leadership with military capabilities. Its Supply Chain Stabilisation Fund sponsors the diversification of export destinations, domestic and overseas investments and crisis response measures. Australia prioritises public spending in sectors critical to its economic security.

Expert views

A **Centres for European Policy Network** (CEP) report highlights that the new economic security doctrine will be based on the 'development of an overarching risk management framework [that] will require policymakers to centrally organize and strategically deploy the existing arsenal of economic defence instruments'. For the new doctrine, CEP suggests (1) greater focus on monitoring vulnerabilities in the value chains of technologies most critical to the green and digital transition; (2) taking account of the impact on the economies of partner countries of any countermeasures to hostile action; (3) strengthening EU strategic partnerships with third countries, through initiatives such as creating common long-term assets (like R&D collaboration and market integration); (4) merging individual partnerships into plurilateral 'economic security clubs' to institutionalise cooperation, facilitate value chain diversification and set a common strategy against external shocks.

Centre for European Policy Studies (CEPS) stressed that economic security may act as 'an umbrella principle defining future EU strategies and actions across different areas'. CEPS suggests expanding intra-EU investment flows by reducing barriers to cross-border financial activities and bolstering the capital markets union. FDI needs to be aligned with strategic priorities and the EU's growth model should place greater emphasis on the internal market while remaining open to the world. Together with countries not closely aligned to the US or China, the EU should also strive to reinvent the World Trade Organization to counter a growing power-based approach with a rules-based alternative. Economic security is most effectively pursued at the EU level, but there are deep-seated differences among Member States' economic models, industrial structures and even on national security. CEPS suggests tackling this challenge with stronger coordination mechanisms and by aligning national interests with collective EU strategies – the latter would likely require a shift in mindset, 'from economic security as a national concern to a shared European imperative'.

European Council on Foreign Relations (ECFR) argues that while the EU has the necessary geoeconomic heft and tools to respond to China and the US, it is hampered by a lack of a robust institutional structure and coordination tools to fully implement and exploit its economic security policies.[8] The ECFR proposes an economic security network composed of representatives of Member States and EU institutions. This could help to design best responses, support information sharing, and cultivate a pan-European economic security culture, pooling together experience and knowledge to deliver coherent, novel solutions to challenges.

Bruegel's analysis looked at the ways in which the EU could de-risk its external economic relationships without foregoing the benefits of trade. It argued that import de-risking should focus on a limited number of product categories with significant costs of potential supply disruptions. De-risking export dependencies is equally important, and can be done by deterring coercion, incentives to diversify export destinations, and insurance mechanisms for export disruptions. It should be complemented by raising resilience against all shocks, which requires deepening the single market, banking and capital markets union, to enable swift redirection of trade and supply when needed and better risk sharing.

The **Institut Montaigne** points to unavoidable hard choices to be made. It sees the consolidation of the defensive toolbox ('protect') as a short-term objective, while strengthening supply chain

resilience, competitiveness, innovation and industrial policy ('promote') requires longer term and substantial resources. This creates financial and prioritising dilemmas across several simultaneous European goals such as greening, defence and structural funds. The best security outcomes would come not from focusing on a regional approach, but from including as many significant partners as possible.

The **European Union Institute for Security Studies** argues that economic security has gained limited traction in most Member States. Most observers see economic security as a reactive approach, focused on the 'protect' pillar and its defensive measures. While Member States may not be against this, their focus is on carefully assessing the potential economic costs. As a result, the other two pillars ('promote' and 'partner') tend to receive far less attention. However, they are important, as their aim is to 'stimulate economic and technological activity within the EU and in cooperation with international partners … a more proactive and strategic use of these 'promote' and 'partner' tools is essential.'

ENDNOTES

1 The criteria used for selection: the enabling and transformative nature of the technology; the risk of civil and military fusion; and the risk of misuse of the technology for human rights violations.

2 Other technologies: connectivity, navigation and digital technologies; advanced sensing technologies; space and propulsion; energy; robotics; advanced materials and manufacturing and recycling technologies.

3 It contained five new initiatives: improving FDI screening; launching discussion on stronger EU coordination of export controls; identifying potential risks from outbound investments in selected technologies; improving support for dual-use technology research; and developing and enhancing research security.

4 In January 2025, the Commission asked the Member States to revise their companies' outbound investments to non-EU countries to assess economic security risks in three critical sectors: advanced semiconductors, AI and quantum technologies. It also boosted the EU's export controls in April 2025, with a recommendation to improve information exchange on national controls. Moreover, the revised FDI Screening Regulation is making its way through the legislative process, with Parliament having adopted its negotiating position in May 2025.

5 The list is non-exhaustive and for indicative purposes only. Many more instruments exist that will likely be included in the doctrine, such as the Enforcement Regulation, and the trade defence toolkit.

6 Unlike security (and defence) policy, which is predominantly a Member State competence, the EU's common commercial (or trade) policy is an exclusive EU competence under Article 3 of the TFEU. The European Parliament is a co-legislator alongside the Council on related matters.

7 The list is non-exhaustive and compiled using two reports: on products and critical raw materials. Examples include, for China: cell phones, laptops, rare earth elements and other critical raw materials; United States: turbines for turbojets & turbo-propellers, types of vehicles, beryllium; Russia: semi-finished products of iron and non-alloy steel, palladium; India: types of amine-function-compounds; United Kingdom: submersible drilling and production platforms, derivatives of acyclic hydrocarbons; Taiwan: semiconductors; Brazil: niobium; Democratic Republic of the Congo: cobalt.

8 The report also mentions internal divisions among Member States and strict adherence to international rules as factors blocking the EU from reaching its full geoeconomic potential.

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